

APEX GLOBAL ENTERPRISE SOLUTIONS
ANNUAL REPORT 2025-2026

Executive Overview & Strategic Disclosures

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ANNUAL REPORT FOR FISCAL YEAR 2025-2026

1. FINANCIAL PERFORMANCE & OPERATIONAL OVERVIEW

Fiscal Year 2025-2026 was a year of landmark operational transformation for Apex Global Enterprise Solutions.

Total consolidated revenue for FY 2025-2026 reached \$28.45 billion, representing an 8.2% Year-over-Year (YoY) growth in constant currency terms (up from \$26.30 billion in FY 2024-2025).

- **Operating Margin**: Expanded by 60 basis points to 24.8%, driven by enhanced delivery efficiencies and internal automation programs.
- **Net Income**: Reached \$6.12 billion, an increase of 9.4% YoY.
- **Earnings Per Share (EPS)**: Increased to \$4.25, compared to \$3.88 in the prior fiscal year.
- **Operating Cash Flow**: Strong cash conversion at 104% of Net Income, totaling \$6.36 billion.
- **Free Cash Flow**: Reached \$5.82 billion, allowing the board to approve a record dividend payout of \$2.40 per share and a \$1.5 billion share repurchase program.

2. SEGMENT & REGIONAL PERFORMANCE

Growth was broad-based across all major industry verticals:

- **Banking, Financial Services & Insurance (BFSI)**: Contributed \$8.95 billion (31.5% of total revenue), growing at 6.8% YoY driven by core banking modernization and real-time fraud mitigation architectures.
- **Healthcare & Life Sciences**: Surged 14.2% YoY to \$3.70 billion, fueled by clinical trial data platforms and regulatory compliance infrastructure.
- **Manufacturing & Energy**: Contributed \$4.80 billion, up 7.5% YoY as smart factory solutions and predictive maintenance contracts accelerated.
- **Retail & Consumer Goods**: Generated \$4.20 billion, up 5.1% YoY.
- **Digital Transformation & Cloud Services**: Grew 18.5% across all verticals, now accounting for 42.0% of total revenue.

Geographic Breakdown:

- North America: 51.0% of revenues, growing 5.8% YoY.
- Continental Europe & UK: 31.5% of revenues, growing 7.2% YoY.
- Asia-Pacific & Emerging Markets: 17.5% of revenues, expanding rapidly at 16.4% YoY.

3. STRATEGIC HIGHLIGHTS & CAPEX INVESTMENTS

- **AI & Automation Center of Excellence**: Apex invested \$680 million in Research & Development (R&D) and internal AI enablement. Over 125,000 employees were certified in enterprise GenAI workflows and autonomous agentic development.
- **Major Deal Wins**: Total Contract Value (TCV) signed during the year reached an all-time high of \$34.8 billion, with a book-to-bill ratio of 1.22. This includes two mega-deals exceeding \$1.0 billion in financial cloud infrastructure migration.
- **Talent & Retention**: Total employee headcount stood at 215,400 with voluntary attrition declining to a multi-year low of 10.8% (down from 14.1% in FY 2024-2025).

4. RISK FACTORS & VULNERABILITIES (MD&A DISCLOSURE)

Management identified several critical risk categories in the Management Discussion and Analysis (MD&A) section:

- **Client Discretionary Spend & Macroeconomic Headwinds**: High interest rate volatility and cautious enterprise budgeting in North America and Western Europe could delay multi-phase digital transformations.
- **Geopolitical & Foreign Exchange Risks**: With over 45% of delivery operations in overseas offshore hubs, fluctuations in USD/EUR/GBP/INR currency pairs may impact operating margins. Foreign exchange hedging covered 70% of projected net exposures.
- **Cybersecurity & Data Privacy Compliance**: Heightened regulatory mandates (EU AI Act, GDPR, SEC Cybersecurity Disclosure Rules) require increased governance and security audits. Any data breach could result in severe reputational damage and regulatory fines.
- **Talent Wage Inflation & Tech Shifts**: Rapid shifts in generative AI toolchains require continuous workforce reskilling. Failure to train personnel in agentic automation and cloud-native frameworks could impair project delivery margins.

5. MANAGEMENT OUTLOOK & FUTURE GUIDANCE (FY 2026-2027)

Executive leadership provided the following guidance for the upcoming fiscal year:

- **Revenue Growth**: Projected to grow between 7.5% and 9.5% in constant currency.
- **Operating Margin Target**: Maintained in the resilient band of 24.5% - 25.5%.
- **Strategic Focus Areas**:
 1. Deepening Agentic AI and Autonomous Workflow offerings across Fortune 500 client S.
 2. Expanding local delivery centers in Eastern Europe, Japan, and Latin America.
 3. Achieving Net-Zero Carbon across all Scope 1 and Scope 2 operations by 2030.